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SERIES: AEROSPACE AND DEFENSE

Lockheed Martin

Lockheed Martin Corporation

NYSE: LMT · United States · Report Date: 20 August 2026

USD 571.48

Closing price, 20 August 2026 · Day change -3.00% · Market capitalization USD 131.9 billion



Lockheed Martin Corporation (NYSE: LMT), daily closing price, 22 May 2026 – 20 August 2026. Source: StockAnalysis.com, market data sourced from S&P Global Market Intelligence.

ANALYST	EXCHANGE	SECTOR	CURRENCY
Arthur Faugeron	NYSE	Industrials – Aerospace & Defense	USD

Executive Summary

Business

Lockheed Martin designs, builds, and sustains combat aircraft, missiles, helicopters, and satellite and space systems for the United States government and allied militaries, organized into four segments: Aeronautics, Missiles and Fire Control, Rotary and Mission Systems, and Space. Revenue is overwhelmingly government-funded: the United States government, primarily the Department of War (formerly the Department of Defense), accounts for the substantial majority of sales, with the balance from foreign military sales contracted through the US government and direct commercial sales to allied nations. The business model is long-cycle programs of record, cost-reimbursable and fixed-price production contracts, and decades-long sustainment tails, funded against a record order backlog.

Financial Condition

Trailing-twelve-month revenue through June 2026 was USD 77.0 billion, up 7.2% year over year, following full-year 2025 revenue of USD 75.0 billion (up 5.6%). Operating margin compressed to a five-year low of 9.3% in full-year 2025 on program charges before recovering to 10.9% on a trailing basis; net income was USD 5.0 billion in 2025 and USD 6.3 billion trailing twelve months. Operating cash flow was USD 8.6 billion in 2025 and USD 10.4 billion trailing twelve months, against free cash flow of USD 6.9 billion and USD 8.7 billion respectively. Net debt stood at USD 16.7 billion as of June 2026, equivalent to roughly 1.7 times trailing EBITDA.

Market Position

Lockheed Martin's principal competitors for defense prime-contractor spending are RTX Corporation, Northrop Grumman, General Dynamics, L3Harris Technologies, and, in specific aircraft and munitions categories, Boeing's defense unit. Its central advantage is incumbency on the F-35 fighter program and a set of sole-source or dual-source missile-defense franchises (PAC-3, THAAD, the Next Generation Interceptor) that are difficult for competitors to displace given qualification costs and government risk-aversion to disrupting fielded systems. Its principal weakness is customer concentration in a single buyer whose budget cycle, program priorities, and procurement reforms it does not control, combined with a demonstrated history of cost overruns and technical charges on fixed-price development programs.

Valuation

At the 20 August 2026 closing price, Lockheed Martin's market capitalization was USD 131.9 billion and enterprise value approximately USD 148.6 billion. The stock trades at a trailing price/earnings ratio of 21.1x (forward 18.5x), EV/EBITDA of 15.4x, EV/Sales of 1.9x, and price/free cash flow of 15.1x. Consensus sell-side analyst rating is Hold, with a 12-month price target of USD 632.95 (Sourced: StockAnalysis.com, 21 analysts).

Investment Framework

What is attractive: a record USD 193.6 billion year-end 2025 backlog (management referenced approximately USD 230 billion on the Q2 2026 earnings call), multiyear sole-source missile awards including a USD 58.6 billion Patriot PAC-3 MSE contract, a global rearmament cycle driving allied defense budgets higher, and free cash flow that has re-accelerated after a weak 2024.

What is concerning: operating margin has not recovered to its 2021-2023 level, book equity has been eroded by pension accounting and sustained buybacks to the point that reported ROE is arithmetically inflated, and net debt has roughly doubled since 2021 while share count reduction has slowed.

What must go right: the missile and munitions production ramp (Patriot, PAC-3, hypersonics, Next Generation Interceptor) must convert backlog into margin-accretive revenue without repeating the classified-program and international-helicopter charges that depressed 2024-2025 results.

What could break the thesis: a US defense budget reprioritization away from legacy platforms, a sustained ceasefire or de-escalation cycle reducing munitions replenishment urgency, or renewed fixed-price development losses of the kind recorded in 2024-2025.

What appears to be priced in: the current multiple embeds continued backlog conversion and margin recovery toward the low-to-mid-teens, without assuming a return to the operating leverage the company displayed prior to 2024.

Investment Profile

BUSINESS QUALITY	High revenue visibility from a multi-year backlog and sole-source program incumbency, offset by single-customer concentration and fixed-price contract risk.
FINANCIAL QUALITY	Improving cash conversion; profitability metrics distorted by a pension-depleted equity base.
COMPETITIVE POSITION	Strong incumbency on F-35 and missile-defense franchises; limited ability to expand share of Department of War spending given existing scale.
GROWTH PROFILE	Mid-single-digit revenue growth underpinned by a record backlog and rising allied defense budgets.
BALANCE-SHEET RISK	Moderate and rising leverage; net debt/EBITDA near 1.7-2.3x across the past three years.
VALUATION	Trading in line with its own five-year multiple range and modestly below large-cap defense peers on EV/EBITDA.
MARKET AND TECHNICAL PROFILE	High idiosyncratic volatility and low correlation to broad equity indices; a wide trailing-year trading range.

A. About the Business

A1. Business Environment

Lockheed Martin operates in the aerospace and defense prime-contracting industry, in which a small number of large, vertically capable contractors design, develop, and manufacture major weapons systems under contract to national governments, principally the United States Department of War (formerly the Department of Defense). The industry's value chain runs from basic research and technology maturation (often funded by government research budgets or contractor internal research and development), through competitive or sole-source program development, to low-rate and full-rate production, and finally decades of sustainment, spares, modernization, and eventual replacement. Revenue pools are concentrated in a handful of very large programs of record (fighter aircraft, missile defense, submarines, satellites) rather than distributed across many small contracts, and cost pools are dominated by manufacturing labor, precision-machined and electronic components, and a specialized supplier base with its own barriers to entry.

The industry is capital-intensive in engineering and tooling terms but comparatively asset-light in fixed manufacturing capital relative to revenue, because government customers frequently fund facilities and government-furnished equipment. It is structurally non-cyclical in the conventional economic sense - demand is a function of government budget appropriations, geopolitical threat perception, and multi-year procurement plans rather than consumer or industrial cycles - but it is subject to its own budget cycle: continuing resolutions, sequestration, and administration priorities can delay or reshape spending irrespective of the broader economy. The industry is heavily regulated, with contracts governed by the Federal Acquisition Regulation, export controls (ITAR), and security-clearance requirements that limit new entrants. Foreign sales are similarly gated by US government approval (Foreign Military Sales and Direct Commercial Sales processes).

Reasoned: the industry is best classified as mature and moderately consolidating, with structurally elevated near-term demand. The major prime contractors were formed through consolidation in the 1990s and have changed little in number since; recent years have added a layer of demand acceleration from renewed great-power competition, the war in Ukraine, conflict in the Middle East, and a widely reported depletion of Western munitions stockpiles, which together have pushed allied defense budgets and munitions production contracts to multi-year highs (Sourced: GlobeNewswire and PR Newswire reporting on missile-interceptor production agreements and the Patriot PAC-3 award, cited in Sources and Methodology).

A2. What Does the Company Do?

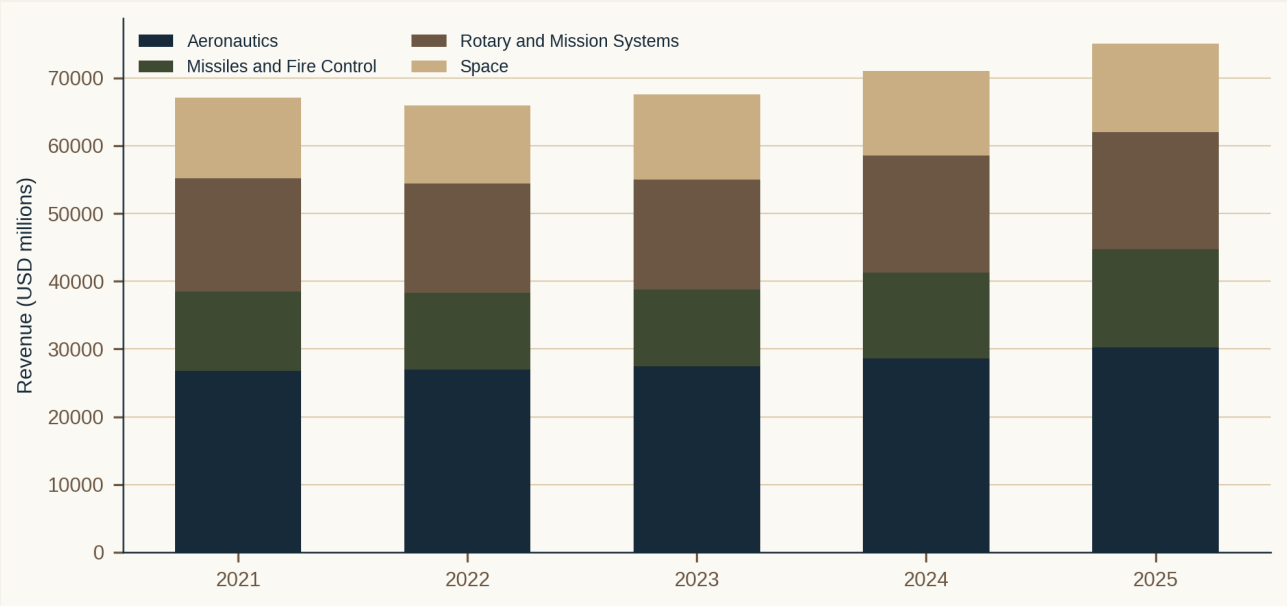
Lockheed Martin is organized into four reporting segments. **Aeronautics** (40% of 2025 revenue) designs, produces, and sustains combat and air-mobility aircraft, principally the F-35 Lightning II fifth-generation fighter, together with the F-16, C-130 tactical airlifter family, and classified programs developed by the Skunk Works advanced-development unit. **Missiles and Fire Control**, or MFC (19% of 2025 revenue), produces air- and missile-defense systems (PAC-3, THAAD, the Next Generation Interceptor), tactical missiles and precision-strike weapons (Javelin, HIMARS-launched munitions, hypersonic systems), and fire-control systems. **Rotary and Mission Systems**, or RMS (23% of 2025 revenue), covers Sikorsky military and commercial helicopters (Black Hawk, CH-53K), naval surface-ship and undersea systems, radar and command-and-control solutions, and training and simulation. **Space** (17% of 2025 revenue) builds satellites, space transportation systems, and strategic and classified national-security space systems.

Revenue is earned predominantly through long-duration, government-negotiated contracts priced on a cost-reimbursable or fixed-price basis, recognized over time under US GAAP as costs are incurred (percentage-of-completion-style accounting). A large share of revenue is effectively recurring in the sense that fielded platforms generate decades of sustainment, spares, upgrade, and support revenue after initial production, and the order backlog (USD 193.6 billion at year-end 2025, Sourced: company balance-sheet disclosure) provides multi-year visibility uncommon outside the defense industry. Major operating costs are direct labor (a large, security-cleared engineering and manufacturing workforce of approximately 123,000

employees, Sourced: company disclosure), purchased components and subsystems from a specialized supplier base, and, in a subset of fixed-price development contracts, the risk of cost growth that the company itself must absorb.

Conceptually, the operating model runs: government customer places a program-of-record order against appropriated budget authority (Customer) → Lockheed Martin designs, integrates, and manufactures the aircraft, missile, ship system, or satellite (Product and Service) → revenue is recognized over the contract's cost incurrence (Revenue) → direct labor, materials, subcontractor content, and program-specific engineering are deducted (Costs) → the residual is operating profit, which in 2025 ran below its historical range because of program charges in classified and international helicopter contracts (Operating Profit) → operating cash flow, aided by advance and progress payments common in government contracting, converts into free cash flow after capital expenditure (Cash Flow) → free cash flow is allocated between dividends, share repurchases, and debt service, with a smaller share directed to capital expenditure and bolt-on investment (Capital Allocation).

Figure A2-1: Segment revenue composition, 2021-2025



USD millions, reported segment revenue. Source: StockAnalysis.com (segment data sourced from Fiscal.ai), based on company 10-K disclosures.

The most economically important parts of this model are, first, the F-35 program within Aeronautics, which alone represents a substantial share of total company revenue once production and sustainment are combined, and second, the missile and munitions franchises within Missiles and Fire Control, which have the shortest path from order to revenue recognition and are currently the fastest-growing segment (Missiles and Fire Control revenue grew from USD 11.3 billion in 2022 to USD 14.5 billion in 2025, a cumulative increase of 27.7%, versus 12.1% for the company overall over the same period; Calculated from segment disclosures).

A3. Business and Relationship Network

Company: Lockheed Martin Corporation

- **Segments:** Aeronautics; Missiles and Fire Control; Rotary and Mission Systems; Space.
- **Primary customer:** the United States Department of War, which together with other US government agencies accounted for the large majority of 2025 net sales (Sourced: company 10-K, revenue disaggregation by customer).
- **Secondary customers:** allied and partner governments purchasing through Foreign Military Sales (contracted via the US government) or Direct Commercial Sales, including F-35 partner and buyer nations across Europe, the Middle East, and Asia-Pacific.

- **Major suppliers and partners:** engine supplier Pratt & Whitney (an RTX business) for the F-35's F135 engine; a broad subcontractor base for airframe structures, avionics, and electronics; Northrop Grumman as a subcontractor on the F-35 center fuselage and as a co-signatory with Lockheed Martin on missile-interceptor production-capacity framework agreements announced in August 2026 (Sourced: GlobeNewswire, cited in Sources and Methodology).
- **Technology partners:** collaborations disclosed in 2026 with Verizon, Nvidia, and Keysight on counter-drone sensing (NetSense), and with Anduril and other newer entrants on autonomy, reflecting an industry trend toward incorporating commercial and venture-backed technology into traditional prime-contractor programs.
- **Subsidiaries and brands:** Sikorsky Aircraft (military and commercial helicopters, acquired 2015); Skunk Works (advanced development, part of Aeronautics).
- **Competitors:** RTX Corporation, Northrop Grumman, General Dynamics, L3Harris Technologies, and Boeing's Defense, Space and Security unit; see Section A4.

Each of these relationships is economically material for a distinct reason. The relationship with the Department of War is not merely a customer relationship but the entire basis of the business, since the company cannot meaningfully redirect capacity to non-government demand at scale. The Pratt & Whitney engine relationship illustrates the industry's cross-supplier dependencies: Lockheed Martin's largest program depends on a critical single-source component built by a direct competitor's subsidiary. The Northrop Grumman relationship shows that even head-to-head competitors cooperate as subcontractors and joint-capacity partners when government-directed production ramps exceed any single firm's manufacturing base.

A4. Competition

Lockheed Martin's most relevant competitors are the other US-listed prime defense contractors that compete for the same Department of War budget lines, technical talent, and, at the margin, capital.

TABLE A4-1: COMPETITIVE COMPARISON, AEROSPACE AND DEFENSE PRIMES

Company	What it sells	Scale (TTM revenue)	Relative position vs. Lockheed Martin
RTX Corporation	Commercial and military aircraft engines and avionics (Pratt & Whitney, Collins Aerospace) plus missiles and sensors (Raytheon)	USD 93.5bn	Larger and more diversified into commercial aerospace aftermarket; also a critical supplier to Lockheed Martin via the F135 engine.
Northrop Grumman	Aeronautics (B-21 bomber, unmanned systems), missile defense, mission systems, space systems	USD 42.9bn	Smaller, defense-pure-play peer; direct competitor in missile defense and a subcontractor to Lockheed Martin on the F-35.
General Dynamics	Business jets (Gulfstream), submarines and surface ships (Marine Systems), combat vehicles, IT services (GDIT)	USD 54.9bn	Diversified with a genuine commercial civil-aerospace business; competes with Lockheed Martin mainly at the budget-allocation level rather than head-to-head on shared programs.
L3Harris Technologies	Space and mission systems, communications and electronic warfare, missile solutions	USD 22.9bn	Smaller, more focused on electronics and C4ISR content that is frequently a subcomponent of Lockheed Martin-integrated platforms.
Boeing (Defense, Space and Security)	Fighter aircraft (F-15, F/A-18), rotorcraft (Apache, Chinook), space systems	Not separately disclosed	Direct competitor for combat-aircraft and rotorcraft programs; Boeing's commercial-aircraft difficulties over the past several years have

Company	What it sells	Scale (TTM revenue)	Relative position vs. Lockheed Martin
			periodically constrained its defense-side execution capacity.

These five were selected because each competes directly with Lockheed Martin for Department of War budget authority, for specific program awards, or, in the case of RTX, is simultaneously a critical supplier and a competitor. Companies with a nominal aerospace-and-defense classification but limited overlap in customer base or program competition, such as smaller electronics or drone specialists, were excluded because they do not compete for the same large-program dollars.

A5. Competitive Differences

Advantages: Lockheed Martin's central advantage is program incumbency, particularly on the F-35, the only fifth-generation fighter in full-rate production among US allies, and on a set of missile-defense systems (PAC-3, THAAD, the Next Generation Interceptor) where the government has strong disincentives to qualify a second source given cost, schedule, and interoperability risk. This incumbency functions similarly to a switching-cost moat: once a partner nation has trained pilots, built maintenance infrastructure, and integrated a platform into its doctrine, replacing it is prohibitively expensive. Scale in security-cleared engineering talent and classified-program infrastructure is a further barrier that is difficult for new entrants to replicate.

Disadvantages: the company's overwhelming reliance on a single customer type removes the diversification and pricing-power benefits available to less government-dependent industrials. Fixed-price development contracts, a structure the Department of War increasingly favors to transfer risk to contractors, have generated the cost overruns and charges visible in the 2024-2025 margin compression (helicopter and classified-program charges cited in company disclosures). The company also carries meaningful key-program concentration risk: a materially adverse change to F-35 procurement plans would affect a large share of consolidated revenue.

Reasoned: the F-35 and core missile-defense incumbency represent a **structural** advantage, unlikely to erode within the report's multi-year horizon given switching costs and the absence of a qualified alternative. The margin pressure from fixed-price development risk is better characterized as a **temporary but recurring** disadvantage that depends on contract-mix decisions largely outside the company's control. On balance, the moat is assessed as **Moderate to Strong**: durable on fielded, sole-source platforms, but not immune to episodic execution and pricing risk on newer development programs.

A6. Industry Trend

Global defense spending has risen for several consecutive years, driven by the war in Ukraine, conflict involving Iran, and a broader reassessment of military readiness among NATO and Asia-Pacific allies. Reported news flow through mid-2026 points to explicit government acknowledgment of depleted munitions stockpiles and multi-year framework agreements to expand production capacity for missile interceptors, awarded jointly to Lockheed Martin, RTX, and Northrop Grumman (Sourced: GlobeNewswire, 3 August 2026, cited in Sources and Methodology). Pricing in the industry is set contractually rather than through open markets, so the relevant trend is award volume and production-rate acceleration rather than unit-price inflation, although input-cost and labor inflation have pressured fixed-price program margins across the industry in recent years.

Reasoned: the industry is best described as structurally growing within a mature, consolidated competitive set, a combination of a secular trend (rising allied defense budgets and munitions replenishment) layered on a structurally stable oligopoly. This should be separated from a cyclical or speculative bubble: award backlogs are multi-year and government-appropriated, not driven by financial-market sentiment. The clearest condition that would reverse the current trend is a durable reduction in the perceived threat environment (for example, a comprehensive and lasting Ukraine settlement together

with de-escalation in the Middle East) combined with a shift in US budget priorities away from procurement and toward other spending categories; conversely, procurement reform that favors non-traditional or software-defined entrants over legacy hardware primes could erode Lockheed Martin's specific share even if total defense spending continues to rise.

A7. Management

James D. Taiclet, Jr. - Chairman, President and Chief Executive Officer. Taiclet joined Lockheed Martin as CEO in 2020 after a career leading American Tower Corporation, a telecommunications-infrastructure real estate investment trust, rather than rising through a traditional defense-industry career path. He has articulated a strategy, "21st Century Security," that emphasizes network-centric, software-defined, and commercially sourced technology (5G.MIL, artificial intelligence, autonomy) layered onto traditional hardware platforms, and has pursued an acquire-and-divest posture that includes the unsuccessful 2022 attempt to acquire Aerojet Rocketdyne (blocked on antitrust grounds) and continued organic investment through the LM Ventures and LM Evolve initiatives.

Evan T. Scott - Chief Financial Officer. A comparatively recent appointment to the CFO role, overseeing capital allocation during a period of rising leverage and continued, if moderated, share repurchases.

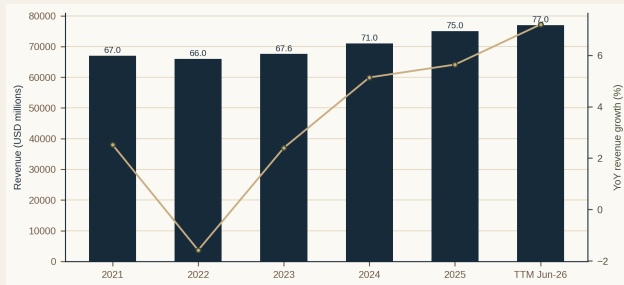
Frank A. St. John - Chief Operating Officer; segment presidents include Orlando Sanchez, Jr. (Aeronautics), Timothy S. Cahill (Missiles and Fire Control), Stephanie C. Hill (Rotary and Mission Systems), and Robert Lightfoot (Space), providing operational continuity across the four reporting segments.

Reasoned: management's capital-allocation record over 2021-2025 shows sustained, large-scale share repurchases (USD 3.0 billion to 7.9 billion annually, cumulatively reducing shares outstanding from approximately 272 million to 231 million, a decline of roughly 15%) alongside a dividend raised every year in the period, funded increasingly with debt as free cash flow dipped in 2023-2024. This capital-return posture continued even as net debt rose and book equity was eroded by pension-related comprehensive losses, which this report views as a moderate governance flag worth monitoring rather than a disqualifying one, since the dividend and buyback program remained covered by free cash flow in aggregate across the period (Calculated: cumulative 2021-2025 free cash flow of USD 32.3 billion against cumulative dividends and buybacks of USD 45.7 billion, the gap financed by debt issuance). Guidance accuracy improved markedly in 2026: the company raised full-year 2026 sales, earnings, and cash-flow guidance following a strong second-quarter beat, with record backlog and free cash flow highlighted on the earnings call (Sourced: StockAnalysis.com earnings call transcript summary, 23 July 2026).

B. Evaluation

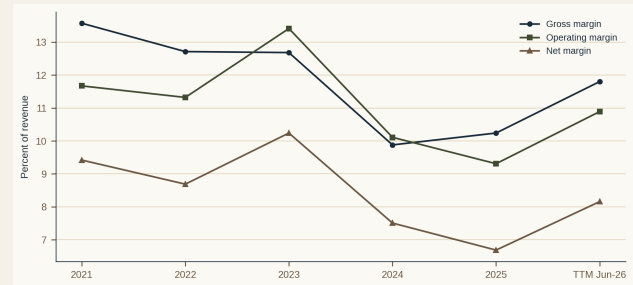
B1. Financial and Operating Metrics

Figure B1-1: Revenue and revenue growth, FY2021-TTM



USD billions (bars, left axis) and year-over-year growth percent (line, right axis). Source: StockAnalysis.com, based on company 10-K/10-Q filings.

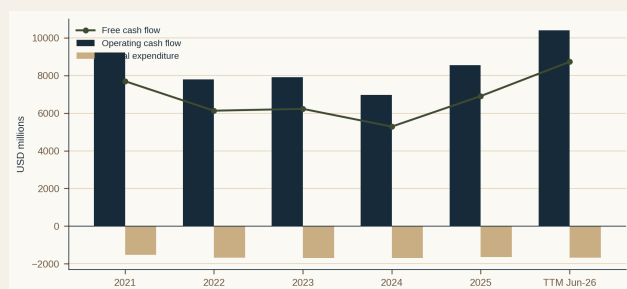
Figure B1-2: Margin trend, FY2021-TTM



Gross, operating, and net margin as a percent of revenue. Source: StockAnalysis.com, based on company 10-K/10-Q filings.

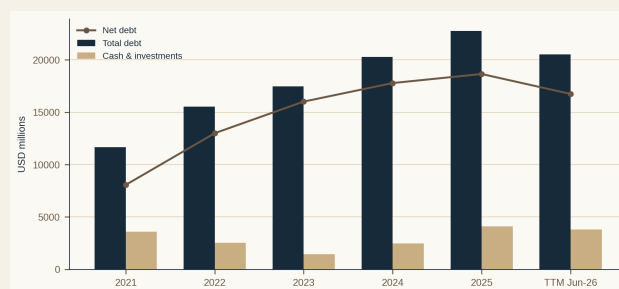
Gross margin fell from 13.6% in 2021 to a trough of 9.9% in 2024 before recovering to 11.8% on a trailing-twelve-month basis, a pattern the company attributes to program charges in classified programs and the international helicopter (Canada CH-148) program rather than a structural change in contract pricing. Operating margin followed a similar path, falling from 11.7% (2021) to 9.3% (2025) before recovering to 10.9% trailing. Net margin bottomed at 6.7% in 2025 versus 9.4% in 2021. **Reasoned:** the 2026 recovery in trailing margins, together with management's public commentary that program charges were non-recurring items tied to specific contracts, suggests the 2024-2025 trough was not a permanent reset of the business's earnings power, though the historical record of similar charges recurring across different programs argues for treating full normalization as an assumption rather than a certainty.

Figure B1-3: Free cash flow build, FY2021-TTM



USD millions. Operating cash flow and capital expenditure (bars), free cash flow (line). Source: StockAnalysis.com, based on company cash-flow statements.

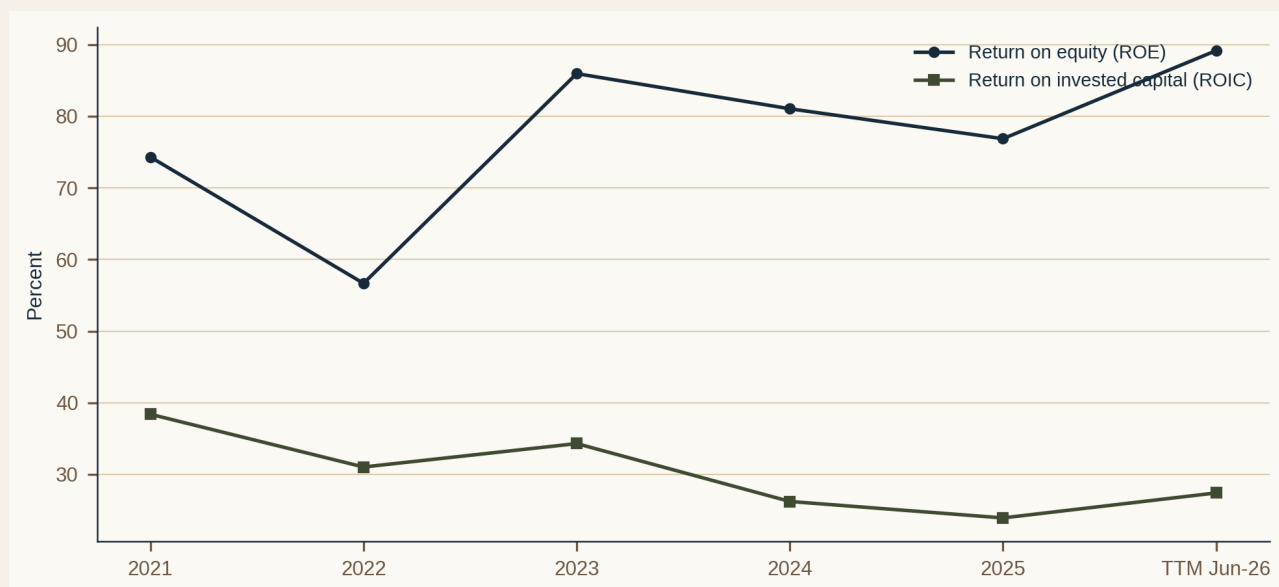
Figure B1-4: Debt and cash position, FY2021-TTM



USD millions. Total debt and cash and investments (bars), net debt (line). Source: StockAnalysis.com, based on company balance sheets.

Free cash flow declined from USD 7.7 billion in 2021 to USD 5.3 billion in 2024 before recovering to USD 6.9 billion in 2025 and USD 8.7 billion trailing twelve months, a stronger recovery than net income, aided by favorable working-capital movements (notably a large increase in customer advance and progress payments, or unearned revenue, which rose from USD 8.1 billion in 2021 to USD 12.2 billion on a trailing basis) as the missile-production ramp brought in customer prepayments ahead of cost incurrence. Net debt nearly doubled from USD 8.1 billion (2021) to a peak of USD 18.7 billion (2025) before easing to USD 16.7 billion (June 2026), driven by continued share repurchases exceeding free cash flow in several years and by debt-funded working-capital needs. Net debt/EBITDA rose from approximately 0.9x (2021) to 2.25x (2025) before improving to approximately 1.7x on a trailing basis (Calculated from reported net debt and EBITDA).

Figure B1-5: Return on equity and return on invested capital, FY2021-TTM



Percent. Source: StockAnalysis.com calculated ratios, based on company financial statements.

Reasoned: reported ROE of 89.2% (trailing) is not comparable to a typical industrial company's ROE and should not be read as evidence of extraordinary capital efficiency. Book equity has been compressed to USD 8.8 billion (trailing) from USD

11.0 billion in 2021 by a combination of accumulated other comprehensive losses of roughly USD 7.5 billion (principally pension-related, under US GAAP) and sustained share buybacks that reduce the equity base faster than retained earnings can rebuild it; the resulting ROE is arithmetically inflated by a thin denominator rather than an unusually productive equity base. ROIC, which nets out this distortion by using invested capital (debt plus equity) rather than equity alone, is a more reliable profitability signal: it has declined from 38.4% (2021) to 27.4% (trailing), still a strong absolute level relative to the company's approximately 8-9% estimated cost of capital (see Section C5), but a meaningfully declining trend that corroborates the margin compression discussed above rather than contradicting it.

Leverage metrics: Debt/EBITDA of 2.07x and Net Debt/EBITDA of 1.73x (current); Debt/Equity of 2.34x, elevated by the thin equity base described above rather than by an unusually large absolute debt load (total debt of USD 20.5 billion is broadly comparable to 2024 levels). Liquidity: current ratio of 1.19x and quick ratio of 0.97x (current), both essentially unchanged from the 2023-2025 range and adequate for a contractor that receives substantial customer advance payments. Cash conversion: operating cash flow to net income of 1.65x (trailing), indicating reported earnings are, if anything, understated relative to cash generation over the past twelve months, a reversal of the pattern in 2023-2024 when working-capital consumption made cash flow lag net income.

B2. Risks

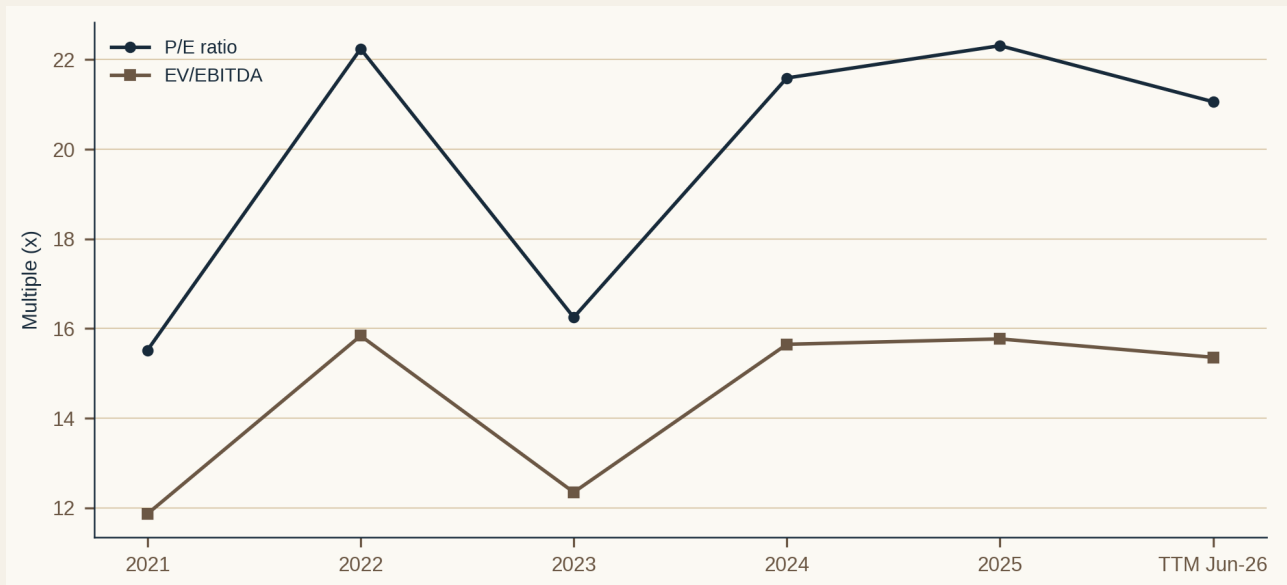
TABLE B2-1: STRUCTURED RISK ASSESSMENT

Category	Risk	Probability	Impact
Business	Customer concentration in a single government buyer	High	High
Business	Program concentration in the F-35	Medium	High
Financial	Rising net debt and thin book equity base	Medium	Medium
Competitive	Fixed-price development-contract cost overruns recurring on new programs	Medium-High	Medium-High
Competitive	Share loss to Northrop Grumman, RTX, or non-traditional entrants on next-generation programs	Low-Medium	Medium
Technological	Disruption from autonomous and software-defined systems reducing the value of legacy platform integration	Low-Medium	Medium
Technological	Cybersecurity intrusion affecting classified or export-controlled programs	Low	High
Regulatory	US defense-budget reprioritization, continuing resolutions, or procurement reform	Medium	High
Macro	Interest-rate and refinancing costs on a growing debt load	Low-Medium	Low-Medium
Macro	Ceasefire or de-escalation reducing near-term munitions replenishment urgency	Medium	Medium
Valuation	Multiple compression if backlog conversion or margin recovery disappoints	Medium	Medium

Reasoned - the three risks most capable of permanently impairing shareholder value: first, a structural reduction in US and allied defense budgets that reduces the addressable market rather than merely delaying it; second, recurring fixed-price development losses similar to the charges recorded in 2024-2025, which directly reduce cash available for capital return and can trigger multiple de-rating; and third, a materially adverse change to the F-35 program specifically, given its outsized contribution to Aeronautics and to consolidated results.

B3. Valuation

Figure B3-1: Valuation multiple history, FY2021-current



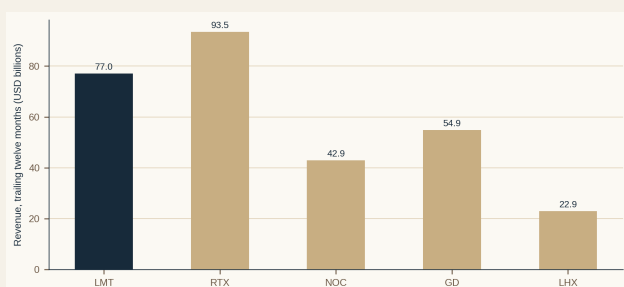
Price/earnings ratio and EV/EBITDA, fiscal year-end values and current. Source: StockAnalysis.com calculated ratios.

TABLE B3-1: CURRENT MULTIPLES VERSUS OWN FIVE-YEAR HISTORY

Multiple	Current	2021	2022	2023	2024	2025
P/E (trailing)	21.1x	15.5x	22.2x	16.3x	21.6x	22.3x
EV/EBITDA	15.4x	11.9x	15.8x	12.4x	15.7x	15.8x
P/FCF	15.1x	12.7x	20.8x	18.1x	21.8x	16.2x
EV/Sales	1.9x	1.6x	2.1x	1.9x	1.9x	1.7x

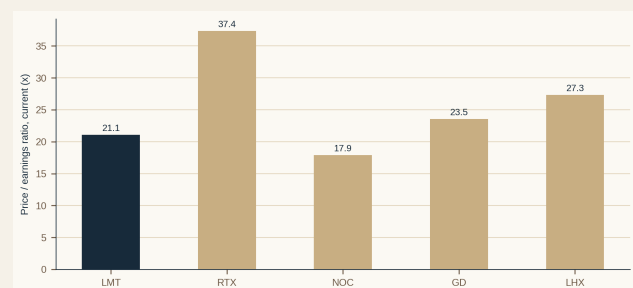
Current multiples sit in the upper half of the trailing five-year range on P/E and EV/EBITDA, but below the 2022 and 2024 peaks, and below the P/FCF peaks reached when free cash flow was temporarily depressed.

Figure B3-2: Peer revenue comparison, trailing twelve months



USD billions. Source: StockAnalysis.com company overview pages, 20 August 2026.

Figure B3-3: Peer price/earnings comparison, current



Trailing price/earnings ratio. Source: StockAnalysis.com company overview pages, 20 August 2026.

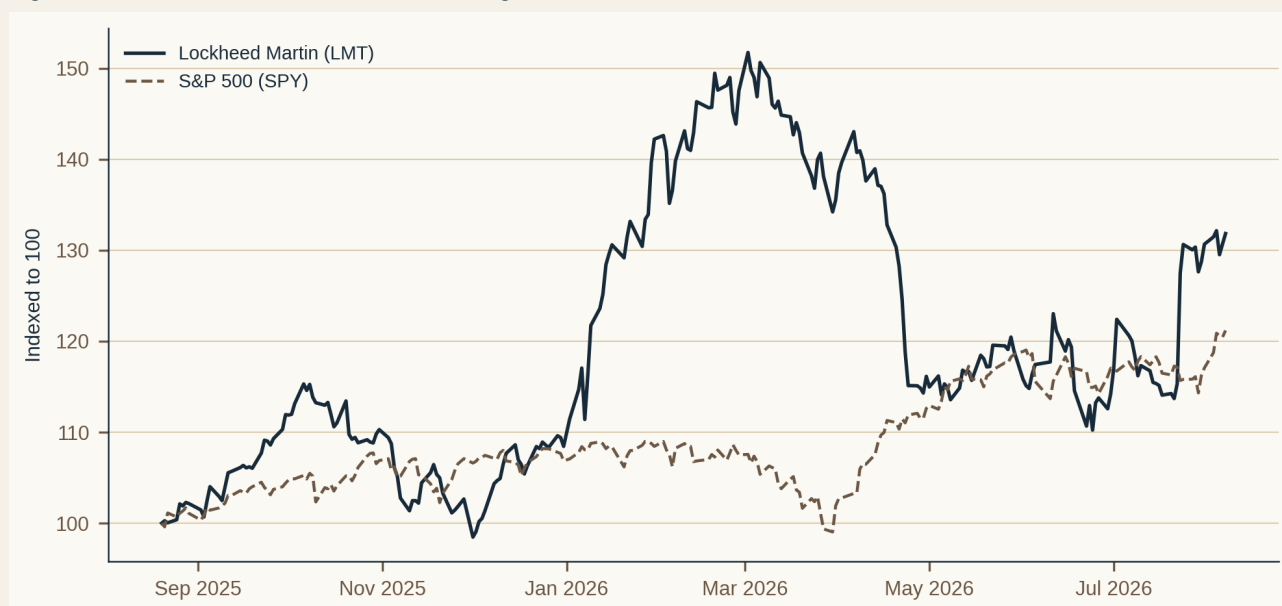
TABLE B3-2: PEER VALUATION AND PROFITABILITY SNAPSHOT, 20 AUGUST 2026

Company	Mkt cap (USDbn)	P/E	Fwd P/E	Analyst rating
Lockheed Martin (LMT)	131.9	21.1	18.5	Hold
RTX Corporation (RTX)	286.1	37.4	28.8	Buy
Northrop Grumman (NOC)	80.1	17.9	19.3	Buy
General Dynamics (GD)	104.3	23.5	22.0	Buy
L3Harris Technologies (LHX)	50.4	27.3	21.8	Buy

Lockheed Martin trades at the lowest trailing and forward P/E among the five primes compared here, and carries the only Hold-consensus rating among the group; RTX's premium multiple reflects its commercial aerospace aftermarket exposure and stronger earnings growth, while Northrop Grumman's lower multiple, despite comparable defense-pure-play positioning, reflects its own recent execution concerns flagged by sell-side analysts. **Reasoned:** at the current price, the market appears to require continued backlog-to-revenue conversion and a return of operating margin toward the low-to-mid-teens, but does not appear to be pricing in a full return to the 13%+ operating margin last achieved in 2023; this expectation is best characterized as **Reasonable** rather than optimistic, given the visibility provided by the record backlog, though it would become **Optimistic** if margin recovery stalls at the current high-single-digit to low-double-digit level.

B4. Capital Market and Stock Analysis

Figure B4-1: Total return, indexed to 100, trailing twelve months, LMT vs. S&P 500



Daily closing price indexed to 100 at the start of the period. LMT series through 20 August 2026; S&P 500 (SPY) series through 7 August 2026, the latest date for which comparable benchmark data was available at time of writing. Source: StockAnalysis.com.

TABLE B4-1: PRICE RETURNS BY PERIOD, AS OF 20 AUGUST 2026

Period	Return
1 week	-4.4%
1 month	+12.7%

Period	Return
3 months	+9.3%
6 months	-14.3%
Year to date	+18.2%
1 year	+28.1%

Calculated from daily closing prices, StockAnalysis.com. Percentages are simple price returns and exclude dividends.

Over the trailing year the stock has been highly volatile: calculated annualized volatility of daily returns over the trailing twelve months is approximately 27.8%, with downside volatility (deviation of negative-return days only) of approximately 16.8%, and a maximum trailing-year drawdown of approximately -27.3% (Calculated). The stock's reported beta versus the broad market is very low (0.11, Sourced: StockAnalysis.com), and the calculated correlation of daily returns with the S&P 500 over the trailing year was likewise very low. **Reasoned:** this combination of high absolute volatility with low market correlation indicates that Lockheed Martin's price action over the period has been driven predominantly by company- and program-specific news (earnings beats and misses, contract awards, program charges) rather than by broad-market moves, consistent with a defense contractor whose revenue is insulated from the general economic cycle but exposed to its own idiosyncratic catalysts.

The trailing-year price path shows a sharp single-day decline of approximately 10.8% on 22 July 2025 coinciding with second-quarter 2025 results and program charges, a subsequent recovery into early 2026, a peak near USD 692 in early March 2026, a decline of roughly 29% into a trough near USD 490-510 in June 2026, and a sharp single-day rally of approximately 10.5% on 23 July 2026 following second-quarter 2026 results that beat expectations and raised full-year guidance, followed by a further advance to a recent high near USD 607 (18 August 2026) before a two-session pullback of approximately 5.8% into the 20 August 2026 report date (Calculated from daily closing price data, StockAnalysis.com). The 52-week trading range is USD 437.25 to USD 692.00 (Sourced: StockAnalysis.com). The 20 August 2026 close of USD 571.48 sits below both the 50-day and 200-day levels implied by the recent multi-month range, reflecting the recent pullback rather than a sustained downtrend; the stock remains up 28.1% over the trailing year. Trading volume on 20 August 2026 was approximately 1.35 million shares, broadly in line with typical daily volume over the observation window.

C. Financial Statements

C1. Income Statement

TABLE C1-1: CONSOLIDATED INCOME STATEMENT, FY2021-TTM (USD MILLIONS EXCEPT PER-SHARE DATA)

Fiscal year	2021	2022	2023	2024	2025	TTM Jun-26
Revenue	67,044	65,984	67,571	71,043	75,048	77,014
Revenue growth	2.5%	-1.6%	2.4%	5.1%	5.6%	7.2%
Gross profit	9,097	8,387	8,571	7,017	7,685	9,086
Gross margin	13.6%	12.7%	12.7%	9.9%	10.2%	11.8%
Operating income	7,821	7,469	9,058	7,181	6,991	8,384
Operating margin	11.7%	11.3%	13.4%	10.1%	9.3%	10.9%
Net income	6,315	5,732	6,920	5,336	5,017	6,287
Net margin	9.4%	8.7%	10.2%	7.5%	6.7%	8.2%
Diluted EPS (USD)	22.76	21.66	27.55	22.31	21.49	27.14

Reported figures. Source: StockAnalysis.com, based on company 10-K and 10-Q filings.

Revenue growth over the period has been driven primarily by volume, specifically higher missile and munitions production rates within Missiles and Fire Control and continued F-35 deliveries and sustainment growth within Aeronautics, rather than by acquisitions, which have been minimal since the blocked Aerojet Rocketdyne transaction, or by significant pricing power, which is constrained by negotiated government contract terms. Operating leverage has been negative since 2023: despite revenue growth of 11.8% cumulatively from 2023 to 2025, operating income fell 22.8% over the same period (Calculated), reflecting the program charges discussed in Section A5 and B1 rather than a structural cost-base problem. Margins are best characterized as contracting from 2021 through 2025 and now stabilizing to modestly expanding on a trailing basis; the extent to which this trailing improvement continues into full-year 2026 and 2027 results is the single most important variable for the investment thesis (see Section E).

C2. Balance Sheet

TABLE C2-1: SUMMARY BALANCE SHEET, FY2021-TTM (USD MILLIONS)

Fiscal year	2021	2022	2023	2024	2025	TTM Jun-26
Cash and short-term investments	3,604	2,547	1,442	2,483	4,121	3,791
Total current assets	19,815	20,991	20,521	21,849	25,362	28,401
Goodwill and intangibles	14,296	14,158	14,411	14,948	15,618	13,085
Total assets	50,873	52,880	52,456	55,617	59,840	62,450
Total current liabilities	13,997	15,887	16,937	19,420	23,335	23,809
Long-term debt	11,670	15,429	17,291	19,627	20,532	20,538

Fiscal year	2021	2022	2023	2024	2025	TTM Jun-26
Total liabilities	39,914	43,614	45,621	49,284	53,119	53,682
Shareholders' equity	10,959	9,266	6,835	6,333	6,721	8,768
Total liabilities and equity	50,873	52,880	52,456	55,617	59,840	62,450

Reported figures. Source: StockAnalysis.com, based on company 10-K and 10-Q filings.

TABLE C2-2: LEVERAGE AND LIQUIDITY RATIOS

Metric	2021	2022	2023	2024	2025	Current/TTM
Net debt (USDm)	8,066	13,000	16,017	17,787	18,650	16,747
Net debt / EBITDA	0.90x	1.51x	1.57x	2.12x	2.25x	1.73x
Debt / Equity	1.07x	1.68x	2.55x	3.20x	3.39x	2.34x
Current ratio	1.42x	1.32x	1.21x	1.13x	1.09x	1.19x

Calculated working capital (current assets less current liabilities) was USD 4.6 billion on a trailing basis versus USD 5.8 billion in 2021, a modest decline despite the growth in the underlying business, driven by the large increase in current unearned revenue (customer advances against future deliveries, up from USD 8.1 billion to USD 12.2 billion trailing), a favorable form of financing that reduces the company's own working-capital funding need. The most notable balance-sheet feature is the erosion of book equity discussed in Section B1: goodwill and intangible assets of approximately USD 13.1 billion (trailing) exceed reported shareholders' equity of USD 8.8 billion, meaning the company's tangible book value is negative (approximately USD -4.3 billion trailing, Calculated), a condition driven by accumulated pension-related other comprehensive losses and by buybacks that have exceeded retained-earnings growth in most years since 2021. This is a structural feature of Lockheed Martin's balance sheet under US GAAP pension accounting rather than a going-concern signal, but it materially limits the usefulness of equity-denominated ratios (ROE, price/book) as profitability or valuation signals, as discussed in Section B1. No other off-balance-sheet or refinancing red flags were identified in the sources reviewed.

C3. Cash Flow Statement

TABLE C3-1: CASH FLOW SUMMARY, FY2021-TTM (USD MILLIONS)

Fiscal year	2021	2022	2023	2024	2025	TTM Jun-26
Operating cash flow	9,221	7,802	7,920	6,972	8,557	10,402
Capital expenditure	(1,522)	(1,670)	(1,691)	(1,685)	(1,649)	(1,673)
Free cash flow	7,699	6,132	6,229	5,287	6,908	8,729
Dividends paid	(2,940)	(3,016)	(3,056)	(3,059)	(3,131)	(3,176)
Share repurchases	(4,087)	(7,900)	(6,000)	(3,700)	(3,000)	(1,750)

Reported figures. Source: StockAnalysis.com, based on company cash-flow statements. Parentheses denote cash outflows.

Free cash flow growth has not moved in a straight line with net income: FCF margin was 11.5% in 2021 and fell to 7.4% in 2024, a slightly less severe decline than the net margin compression over the same period, before recovering to 9.2% in 2025

and 11.3% trailing, a faster recovery than net income posted on a percentage basis. The operating cash flow to net income ratio of 1.65x on a trailing basis indicates cash generation currently exceeds accounting earnings, primarily because of the customer-advance dynamic described above; in 2023 and 2024 the ratio was closer to 1.0x, indicating cash and accounting earnings were roughly aligned in those years. Capital expenditure has been remarkably stable at approximately 2.2%-2.5% of revenue throughout the period, consistent with a business model in which the government customer funds a meaningful share of program-specific tooling and facilities rather than the contractor itself. Since 2024, dividends and share repurchases combined have exceeded free cash flow in most years (for example, 2022: FCF of USD 6.1 billion against dividends and buybacks of USD 10.9 billion), a gap financed by debt issuance, though the gap narrowed substantially in 2025 and turned to a comfortable surplus over the trailing twelve months (FCF of USD 8.7 billion against dividends and buybacks of USD 4.9 billion).

C4. Forecasting and Projections

Revenue modeling (Reasoned, analyst estimate): the base case assumes revenue growth of approximately 7% in 2026, moderating to 5-6% in 2027-2028 as the missile and munitions production ramp continues to convert the record backlog, before settling toward 3-4% longer-run growth in line with the company's historical average once near-term replenishment demand normalizes. Segment-level drivers are the missile and munitions ramp within Missiles and Fire Control (the fastest-growing segment historically), continued F-35 production and sustainment growth within Aeronautics, and more modest, single-digit growth in Rotary and Mission Systems and Space.

Margin projections (Reasoned, analyst estimate): operating margin is assumed to recover gradually from the trailing 10.9% toward 11.5%-12.0% over a two-to-three-year horizon as classified-program and international-helicopter charges roll off and higher-volume missile production brings operating leverage, without assuming a full return to the 13.4% level achieved in 2023, which this report treats as a cyclical high rather than a sustainable baseline.

Working capital and capital expenditure (Reasoned, analyst estimate): capital expenditure is assumed to remain near 2.2%-2.5% of revenue; working capital is assumed to be a modest source of cash in the near term as customer advance payments continue to grow with the production ramp, before reverting to a more neutral historical pattern once the ramp matures.

Scenario analysis (Reasoned, illustrative)

Scenario	Revenue CAGR (3-yr)	Operating margin (yr 3)	Qualitative driver
Bull case	~8%	~13%	Backlog converts faster than assumed and margin fully normalizes toward the 2023 peak
Base case	~5-6%	~11.5%	Gradual backlog conversion and partial margin recovery
Bear case	~2-3%	~9%	Further fixed-price charges recur and defense-budget growth slows

Sensitivity (Reasoned): given the company's operating leverage, a one-percentage-point change in the assumed terminal operating margin shifts estimated intrinsic value by a materially larger percentage than a one-percentage-point change in the revenue growth assumption over the projection window, because margin assumptions compound directly into free cash flow while revenue assumptions are partially offset by associated working-capital and capital-expenditure needs; see the discounted cash flow sensitivity table in Section C5.

C5. Discounted Cash Flow Model

The following model is illustrative and intended to bound a reasonable valuation range rather than to imply a precise intrinsic value. All growth, margin, and discount-rate inputs are analyst assumptions (Reasoned) built on the historical and trailing figures reported above, not company guidance beyond the single-year 2026 outlook the company has disclosed.

TABLE C5-1: DCF ASSUMPTIONS

Starting revenue (TTM)	USD 77.0 billion
Revenue growth, years 1-2	7.0% / 6.0%
Revenue growth, years 3-5	5.0% / 4.0% / 3.5%
Operating margin, converging to	11.8% by year 5 (from 10.9% trailing)
Effective tax rate	15.5% (in line with 2025-TTM effective rate)
Capital expenditure	2.3% of revenue
Incremental working capital	1.0% of revenue increase, per year
Discount rate (WACC)	8.0% - 9.0% range
Terminal growth rate	2.25% - 2.75% range
Net debt (trailing)	USD 16.7 billion
Diluted shares outstanding	approximately 231 million

WACC is estimated using a normalized equity-market-risk-premium approach with an assumed beta in the 0.75-0.95 range, broadly typical for large-cap aerospace and defense primes; the company's own reported five-year beta of 0.11 (Sourced: StockAnalysis.com) is treated as distorted by the highly idiosyncratic, program-driven volatility documented in Section B4 and is not used directly as a CAPM input. The risk-free-rate input is a Reasoned estimate consistent with prevailing long-term US Treasury yields at the report date and has not been independently sourced to a specific data provider in this report.

TABLE C5-2: IMPLIED ENTERPRISE AND EQUITY VALUE RANGE

WACC \ Terminal growth	2.25%	2.50%	2.75%
8.0%	~USD 640/sh	~USD 655/sh	~USD 672/sh
8.5%	~USD 595/sh	~USD 607/sh	~USD 621/sh
9.0%	~USD 555/sh	~USD 565/sh	~USD 577/sh

Calculated, illustrative range only. Figures are rounded to the nearest USD 1 per share equivalent and should not be read as a precise price target.

Reasoned: across this assumption grid, the implied value range of approximately USD 555 to USD 672 per share brackets the 20 August 2026 closing price of USD 571.48 toward the lower half of the range, broadly consistent with the sell-side consensus target of USD 632.95 sitting closer to the range's midpoint. This suggests the current price does not require aggressive assumptions to justify, but does depend on the margin-recovery and backlog-conversion assumptions discussed above holding rather than disappointing.

C6. Leveraged Buyout Considerations

A conventional leveraged buyout analysis is not a meaningful lens for Lockheed Martin and is included here only briefly, for completeness. The company's scale (enterprise value of approximately USD 149 billion), its single-customer dependence on the US government, and the Foreign Ownership, Control or Influence (FOCI) review regime that governs changes of control

at classified-program contractors make a private-equity-style leveraged acquisition structurally implausible at any scale relevant to the current capital markets. Illustratively, applying a hypothetical re-leveraging to 4.0x-4.5x EBITDA (versus the current 2.1x-2.25x) would add roughly USD 15-20 billion of incremental debt capacity relative to the current balance sheet before covenant and ratings constraints became binding, but this is presented as a balance-sheet-capacity observation rather than a plausible transaction scenario.

D. Investment Thesis

Bull Case

Lockheed Martin outperforms current expectations if the missile and munitions production ramp converts the record backlog into revenue faster than assumed, if operating margin recovers toward or beyond the 13% level last achieved in 2023 as classified-program and helicopter charges prove fully non-recurring, if allied defense-budget growth accelerates further amid a sustained elevated-threat environment, and if management redirects an increasing share of free cash flow toward debt reduction and share repurchases now that the leverage build of 2022-2025 has stabilized. Under this scenario, the valuation multiple could also expand toward the peer group's higher EV/EBITDA levels as the market re-rates the earnings-quality concerns discussed in Section B1.

Bear Case

The thesis weakens materially if growth slows because allied and US defense budgets are redirected or reduced, if margins compress again because new fixed-price development programs (for example, Next Generation Interceptor or classified space programs) repeat the cost-overrun pattern seen in 2024-2025, if competition for the same Department of War budget dollars intensifies at Lockheed Martin's specific expense, or if rising interest costs on an already-elevated debt load, combined with continued buybacks, further erode the thin equity base. A renewed sharp de-escalation in global conflict activity would also remove the near-term munitions-replenishment tailwind that has driven much of the 2026 recovery.

Base Case

The most reasonable scenario, in this report's assessment, combines mid-single-digit revenue growth sustained by the record backlog, gradual operating-margin recovery toward 11.5%-12%, continued but more moderate share repurchases alongside steady dividend growth, and a valuation multiple that holds broadly near its current level rather than re-rating sharply in either direction, consistent with the DCF range calculated in Section C5.

Catalysts

- Quarterly earnings releases, particularly evidence of sustained margin recovery in Aeronautics and Missiles and Fire Control.
- Additional multiyear missile and munitions awards following the USD 58.6 billion Patriot PAC-3 MSE contract.
- Progress on the Next Generation Interceptor program, including further static-fire test milestones.
- Changes to US defense appropriations or continuing-resolution dynamics.
- Pace of share repurchases and any explicit shift in capital-allocation priority toward debt reduction.
- Sell-side price-target and rating revisions following each quarterly print.

Things to Monitor

TABLE D-1: MONITORING LIST

Metric or event	Why it matters	Positive signal	Negative signal
Operating margin by segment	Tests whether 2024-2025 charges were truly non-recurring	Margin above 11% sustained across two or more quarters	New charges in classified, space, or helicopter programs
Backlog and book-to-bill	Confirms revenue visibility is being maintained or extended	Backlog continues to grow beyond the USD 193.6bn year-end 2025 level	Backlog growth stalls or book-to-bill falls below 1.0x
Net debt / EBITDA	Tracks whether leverage is being actively managed down	Ratio declines toward 1.5x or below	Ratio rises back above 2.0x
Free cash flow conversion	Confirms earnings quality	OCF/net income ratio remains above 1.2x	Ratio falls back toward or below 1.0x
US defense appropriations process	Sets the ceiling on near-term revenue growth	Multi-year appropriations or supplemental funding passed on schedule	Extended continuing resolutions or budget caps affecting procurement accounts

E. Final Investment Framework

BUSINESS QUALITY	Above average. High revenue visibility from a record, multi-year government backlog and durable incumbency on the F-35 and core missile-defense franchises, offset by concentration in a single customer type and recurring fixed-price development risk.
FINANCIAL QUALITY	Mixed. Cash conversion has improved sharply on a trailing basis and leverage has stabilized, but reported profitability ratios are distorted by a pension- and buyback-thinned equity base, and margins remain below their 2021-2023 levels.
COMPETITIVE POSITION	Strong on fielded, sole-source platforms; more contested on next-generation development programs where fixed-price risk and competitor capability (Northrop Grumman, RTX) are more evenly matched.
MANAGEMENT	Externally recruited leadership with a differentiated technology strategy (21st Century Security) and a consistent, if debt-assisted, capital-return record; 2026 guidance execution has improved markedly versus 2024-2025.
INDUSTRY	Structurally growing within a mature, consolidated oligopoly, currently supported by an elevated global-threat environment and allied rearmament, with government-budget cyclicalities as the primary swing factor.
VALUATION	Trading near the middle of its own five-year multiple range and at a discount to peer group average P/E; the calculated DCF range brackets the current price toward its lower half.
TECHNICAL AND MARKET STRUCTURE	High idiosyncratic volatility and low correlation to the broad market; wide trailing-year trading range with a recent pullback from an August 2026 high.
PRINCIPAL RISK	Recurrence of fixed-price development-program cost overruns similar to the 2024-2025 charges, compounding an already-elevated leverage position.
PRINCIPAL CATALYST	Continued conversion of the record order backlog into margin-accretive revenue, evidenced by sustained operating-margin improvement.
KEY VARIABLE	Operating margin trajectory - specifically, whether the trailing recovery to 10.9% continues toward the 11.5%-12% base-case assumption or stalls.
THESIS INVALIDATION	The investment thesis would become materially weaker if operating margin falls back below 9% for two or more consecutive quarters, if net debt/EBITDA rises back above 2.5x, or if the order backlog contracts rather than continuing to grow.

F. Data Table

TABLE F-1: STANDARDIZED COMPANY SNAPSHOT

Category	Metric	Current	Prior Year (FY2025)	5-Year Trend
Market	Market capitalization	USD 131.9bn	USD 111.9bn	USD 98.0bn (2021) → 131.9bn
Market	Enterprise value	USD 148.6bn	USD 130.6bn	USD 107.0bn (2021) → 148.6bn
Market	Share price	USD 571.48	USD 478.01	USD 315.43 (2021) → 571.48
Growth	Revenue growth	7.2%	5.6%	2.5% (2021) → 7.2%
Profitability	Gross margin	11.8%	10.2%	13.6% (2021) → 11.8%
Profitability	Operating margin	10.9%	9.3%	11.7% (2021) → 10.9%
Profitability	Net margin	8.2%	6.7%	9.4% (2021) → 8.2%
Profitability	ROE	89.2%	76.9%	74.3% (2021) → 89.2%, distorted by thin equity base
Profitability	ROIC	27.4%	23.9%	38.4% (2021) → 27.4%
Cash Flow	Operating cash flow	USD 10.4bn	USD 8.6bn	USD 9.2bn (2021) → 10.4bn
Cash Flow	Free cash flow	USD 8.7bn	USD 6.9bn	USD 7.7bn (2021) → 8.7bn
Leverage	Net Debt / EBITDA	1.73x	2.25x	0.90x (2021) → 1.73x
Valuation	P/E	21.1x	22.3x	15.5x (2021) → 21.1x
Valuation	EV/EBITDA	15.4x	15.8x	11.9x (2021) → 15.4x
Valuation	P/FCF	15.1x	16.2x	12.7x (2021) → 15.1x
Market	Beta (5-year, reported)	0.11	n/a	Sourced: StockAnalysis.com
Market	Annualized volatility (1-year, calculated)	27.8%	n/a	Calculated from daily closing prices
Market	Maximum drawdown (1-year, calculated)	-27.3%	n/a	Calculated from daily closing prices

Figures marked Calculated are derived by the analyst from reported source data; all others are Sourced directly. TTM figures are trailing twelve months through the quarter ended 28 June 2026.

This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. The information contained herein has been compiled with the assistance of artificial intelligence and is based on publicly available sources believed to be reliable, but its accuracy and completeness are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial professional before making any investment decisions.

G. Sources and Methodology

Primary Sources

Lockheed Martin Corporation – Annual Report on Form 10-K for the fiscal year ended 31 December 2025, filed 29 January 2026.

<https://www.sec.gov/Archives/edgar/data/936468/000162828026004195/0001628280-26-004195-index.htm> · used for segment structure, employee count, and confirmation of reported annual financial statement line items.

U.S. Securities and Exchange Commission, EDGAR – Lockheed Martin Corp filing index (CIK 0000936468).

<https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000936468&type=10-K> · used to identify and verify the current Form 10-K filing.

Lockheed Martin Corporation – Company profile, business description, and company website.

<https://www.lockheedmartin.com> · used for segment descriptions and corporate background.

Lockheed Martin Corporation – Leadership and Corporate Governance page.

<https://www.lockheedmartin.com/en-us/who-we-are/leadership-governance.html> · used for executive officer names and titles in Section A7.

Market Data

StockAnalysis.com – Lockheed Martin (LMT) stock overview, financial statements, ratios, and price history, accessed 20 August 2026.

<https://stockanalysis.com/stocks/lmt/> · used for current price, market capitalization, valuation multiples, and historical daily closing prices. Underlying data sourced by StockAnalysis.com from S&P Global Market Intelligence.

StockAnalysis.com – RTX Corporation, Northrop Grumman, General Dynamics, and L3Harris Technologies stock overview pages, accessed 20 August 2026.

<https://stockanalysis.com/stocks/rtx/> · <https://stockanalysis.com/stocks/noc/> · <https://stockanalysis.com/stocks/gd/> · <https://stockanalysis.com/stocks/lhx/> · used for peer comparison in Section B3.

Secondary Sources

GlobeNewswire (Northrop Grumman Corporation) – "Northrop Grumman Enters Into \$3 Billion Landmark Agreements to Accelerate Missile Interceptor Production," 3 August 2026.

<https://www.globenewswire.com/news-release/2026/08/03/3337477/189/en/Northrop-Grumman-Enters-Into-3-Billion-Landmark-Agreements-to-Accelerate-Missile-Interceptor-Production.html> · used for the Lockheed Martin / Northrop Grumman missile-interceptor production framework referenced in Sections A3 and A6.

PR Newswire – "Lockheed Martin, Verizon, Keysight, ODC and Astris AI Demonstrate Technology for Public Airspace Protection with NVIDIA Technology," 12 August 2026.

<https://www.prnewswire.com/news-releases/lockheed-martin-verizon-keysight-odc-and-astris-ai-demonstrate-technology-for-public-airspace-protection-with-nvidia-technology-302849010.html> · used for the NetSense technology partnership referenced in Section A3.

PR Newswire – "Department of War Awards Lockheed Martin \$58.62B for Multiyear PAC-3 MSE Production to Strengthen the Arsenal of Freedom," 29 July 2026.

<https://www.prnewswire.com/news-releases/department-of-war-awards-lockheed-martin-58-62b-for-multiyear-pac-3-mse-production-to-strengthen-the-arsenal-of-freedom-302838382.html> · corroborating source for the Patriot PAC-3 MSE contract award.

StockAnalysis.com – Lockheed Martin Q2 2026 earnings call transcript summary, 23 July 2026.

<https://stockanalysis.com/stocks/lmt/transcripts/653563-q2-2026/> · used for the approximately USD 230 billion backlog figure referenced in the Executive Summary.

Calculations

Analyst calculations – price return, annualized volatility, downside volatility, maximum drawdown, and beta/correlation estimates in Section B4; free cash flow margin, cash conversion, net debt/EBITDA, and tangible book value figures throughout Sections B1-C3; discounted cash flow model in Section C5.

All calculated from the primary and market-data sources listed above, using daily closing price data through 20 August 2026 for Lockheed Martin and through 7 August 2026 for the S&P 500 benchmark (SPDR S&P 500 ETF Trust, ticker SPY).